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# Violating the psychological contract: not the exception but the norm

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## Summary

The occurrence and impact of psychological contract violations were studied among graduate management alumni ( $N = 128$ ) who were surveyed twice, once at graduation (immediately following recruitment) and then two years later. Psychological contracts, reciprocal obligations in employment developed during and after recruitment, were reported by a majority of respondents (54.8 per cent) as having been violated by their employers. The impact of violations are examined using both quantitative and qualitative data. Occurrence of violations correlated positively with turnover and negatively with trust, satisfaction and intentions to remain.

## Introduction

Contemporary employment relationships are in transition. The demise of employee loyalty and the need for employees to take care of themselves are touted as a sign of the times (Hirsch, 1989). A major issue in employment relationships is the psychological contracts which permeate them (Rousseau, 1989). As beliefs in reciprocal and promised obligations between employee and employer, psychological contracts can, when violated, generate distrust, dissatisfaction, and possibly the dissolution of the relationship itself (Argyris, 1960; Rousseau, 1989). Using both quantitative and qualitative data, this study explores such violations within work relationships and investigates the impact of violations on employee trust, satisfaction and retention.

## Psychological contracts

Contracts, defined as a set of promises committing one to future action (Farnsworth, 1982), are a necessary component of employment relationships. Without the promise of future exchange, neither party has incentive to contribute anything to the other and the relationship may not endure. Promises in and of themselves do not a contract make. Paid-for-promises made in exchange for some consideration are what typically constitute the contract. Considerations

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such as hard work, accepting training or transfers can be offered in exchange for promises, either implied or stated, of pay, promotion, growth or advancement. Together, the promise and the consideration exchanged for it form the contract.

Rousseau (1989) defines the psychological contract as an individual's belief regarding the terms and conditions of a reciprocal exchange agreement between that focal person and another party. A psychological contract emerges when one party believes that a promise of future return has been made (e.g. pay for performance), a contribution has been given (e.g. some form of exchange) and thus, an obligation has been created to provide future benefits.

Lest psychological contracts be construed as a boundless bundle of obligations subjectively held, we define the psychological contract as beliefs in paid-for-promises or reciprocal obligations. It is comprised of a belief that some form of a promise has been made and that the terms and conditions of the contract have been accepted by both parties.

Note that these are *beliefs or perceptions* regarding promises and acceptance. Each party believes that both parties have made promises and that both parties have accepted the same contract terms. However, this does not necessarily mean that both parties share a common *understanding* of all contract terms. Each party only believes that they share the same interpretation of the contract.

Psychological contracts are subjective, residing in the 'eyes of the beholder'. Although beliefs in mutual obligations comprise a contract, two parties need not agree for each to believe a contract exists. As described by one recent MBA, 'Commissions earned on clients were retroactively cut. When I complained, the company partially re-instated the commission and paid me for those in the first half of '89 . . . I still think that is unfair. The company and I aren't playing by the same pay-out rules'.

Parties are thus likely to possess somewhat different and possibly unique beliefs about what each owes the other. These beliefs can arise from overt promises (e.g. bonus systems discussed in the recruitment process), interpretations of patterns of past exchange, vicarious learning (e.g. witnessing other employees' experiences) as well as through various factors that each party may take for granted (e.g. good faith or fairness, MacNeil, 1985).

The psychological contract is distinct from expectations. Expectations refer simply to what the employee expects to receive from his or her employer (Wanous, 1977). The psychological contract, on the other hand, refers to the perceived *mutual obligations* that characterize the employee's relationship with his/her employer. The psychological contract, unlike expectations, entails a belief in what the employer is obliged to provide, based on perceived promises of reciprocal exchange.

The psychological contract, unlike formal employment contracts, is not made once but rather it is revised throughout the employee's tenure in the organization (Rousseau and Parks, 1993). The longer the relationship endures and/or the more the two parties interact, with repeated cycles of contribution and reciprocity, the broader the array of contributions and inducements that might be included in the contract (Rousseau, 1989). Events in the form of new job assignments, relocations, and organizational restructuring may overlay new terms upon old ones.

Empirical research on psychological contracts is recent. Using policy capturing methodologies, Rousseau and Anton (1988, 1991) examined the factors underlying beliefs in implicit employment contracts in samples of managers and human resource specialists. They found that employment itself is perceived as a promise (i.e. the implied contract of continued future employment) and that an employee's performance is perceived as a consideration (a way of paying for the promise).

Rousseau (1990), examining the emergence of psychological contracts in a survey of newly recruited MBAs, found that employees developed psychological contracts during the recruitment process. The content of that contract was related to what type of relationship the employee

sought with the employer. Employees using their current job as a stepping stone to another emphasized as their contract short-term monetizable benefits in exchange for hard work. Those seeking a long-term relationship with their employer felt party to a contract exchanging job security for their loyalty.

Robinson, Kraatz and Rousseau (in press) examined how psychological contracts change over time. They found that during the first two years of employment, employees came to perceive that they owed less to their employer while their employers in turn owed them more.

If psychological contracts are widespread in employment, how often are these contracts violated? What happens when they are? The present study will attempt to provide answers using both quantitative and qualitative data. Although both employers and employees can experience a contract violation by the other party in the employment relationship, this study will focus only upon the employee's perception of psychological contract violation.

## Psychological Contract Violation and Its Impact

A violation occurs when one party in a relationship perceives another to have failed to fulfil promised obligation(s). Since contracts emerge under assumptions of good faith and fair dealing (MacNeil, 1985) and involve reliance by parties on the promises of the other, violations can lead to serious consequences for the parties involved.

Violation of the psychological contract is distinct from unmet expectations and perceptions of inequity. Employees initially hold unrealistic expectations and when these expectations go unmet, employees may become less satisfied, perform less well, and become more likely to leave their employer (see Wanous, Poland, Premack and Davis (1992) for a review). When a psychological contract is violated, the responses are likely to be more intense than in the case of 'unfulfilled expectations'. The intensity of the reaction is attributable not only to unmet expectations of specific rewards or benefits, but also to more general beliefs about respect for persons, codes of conduct, and other patterns of behavior associated with relationships (Rousseau, 1989). For example, a person may expect to be paid market wages in exchange for hard work and feel disappointed when not. A person *promised* market wages in exchange for hard work who *does not receive* them feels wronged. Broken promises produce anger and erode trust in the relationship and thus, are expected to have more significant repercussions than unmet expectations.

Expectancies are the perceived probabilities of outcomes resulting from employee behavior (e.g. the likelihood of reward (Mitchell, 1974). Beliefs in the equity or inequity of exchanges between an employee and employer need not involve promise though they do assume reciprocity and fairness (Pritchard, Dunnette and Jorgenson, 1972). When experience does not match expectancies or equity beliefs, employees are disappointed or dissatisfied (e.g. Mitchell, 1974; Pritchard *et al.* 1972). But again, the experience of psychological contract violation, involving a breach of promise and trust, goes beyond disappointment and produces feelings of betrayal.

Violation of the psychological contract is related to procedural and distributive injustice (Sheppard, Lewicki and Minton, 1992). Justice researchers (e.g. Greenberg, 1990) differentiate between fair outcomes and fair processes. Unfulfilled promises deprive employees of desired outcomes, an issue of distributive or outcome fairness, often associated with perceptions of inequity. Violations also involve issues of procedural fairness, reflecting the quality of treatment employees experience (e.g. unbiased, consistent, honest). Failure to honor a contract creates a sense of wrongdoing, deception and betrayal with pervasive implications for the employment relationship (Rousseau, 1989).

Procedural justice can offset some of the consequences associated with otherwise negative or undesirable outcomes such as job loss or lower pay. Rousseau and Aquino (1993) have found that certain procedural justice mechanisms can reduce the sense of unfairness associated with terminating employees, such as giving advance notice of job loss. But these processes appear not to offset the employer's obligation to the employee unless they also provide some sort of remedy for the lost job (e.g. substantial severance). While justice researchers often report high intercorrelations between perceptions of processes and outcomes (Sheppard *et al.*, 1992), contracts research suggests that outcomes associated with an obligation or promise are not easily offset by just procedures.

Violations decrease trust. When rules of friendship are violated, trust and respect decline (Davis and Todd, 1985). Similarly, when an employer breaks a basic rule in work relationships, such as good faith and fair dealing, trust declines. Gabarro and Athos (1976) identified a number of bases of trust within business relationships: beliefs regarding the other's integrity, motives and intentions, behavioral consistency, openness and discreteness. Each of these bases can be undermined through psychological contract violation. If the employer reneges on a promise, that employer's integrity is questioned. Trust may be also lost in the employer's motives because a violation signals that the employer's original motives to build and maintain a mutually beneficial relationship have changed or were false to begin with. Violations may also reduce the predictability of the employer's future actions. Hence, we hypothesize:

H1: Psychological contract violation by the employer will be negatively associated with the employee's trust in the employer.

When employees encounter a contract violation, their satisfaction with both the job and the organization itself can decline for a variety of reasons. First, there is the discrepancy between what was expected and what was received — a major source of dissatisfaction (e.g. Wanous, 1973). Second, what the employer promised but failed to provide may often be those aspects of one's work which are important sources for work satisfaction. It may become very difficult for an employee to be motivated to perform, and obtain satisfaction from, doing the job when the employee can no longer rely on the promised inducements (Porter and Lawler, 1968). As such, the following hypothesis is proposed:

H2: Psychological contract violations by the employer will be negatively associated with both job satisfaction and organizational satisfaction.

Violation of a psychological contract undermines the very factors (e.g. trust) that led to emergence of a relationship. In the words of two recent recruits: 'After I talked to my boss on several occasions and told him I was frustrated that I was working long hours and not doing what had been promised, I began contemplating leaving this job' and 'I only stayed 3 months and quit. I had no respect for my boss or the organization after they lied to me'.

The psychological contract binds the employee and employer — a form of guarantee that if each does his or her part, the relationship will be mutually beneficial. Hence, violations weaken the bond. The violated party loses faith in the benefits of staying in the relationship and is therefore, more likely to leave.

H3a: Psychological contract violations by the employer will be negatively associated with the employee's intent to remain with the employer.

H3b: Psychological contract violations by the employer will be positively associated with actual employee turnover.

Career planning is the process through which individuals identify and implement steps to

attain career goals (Milkovich and Boudreau, 1988). The individual's career orientation reflects both the nature of his or her goals and the strategies used to attain them (Schein, 1978). At the outset of their post-graduate career, the management school graduates involved in this study are postulated to vary in terms of their intentions to pursue employment in a variety of organizations. Employees taking the view that career advancement will occur outside the current organization have goals different from those focusing upon careers within a firm and pursue different career strategies. We label this orientation 'careerism.'

Psychological contract violations may have a different impact upon employees whose career motives differ. More specifically, employees who place greater emphasis on the employment relationship itself will be more negatively influenced by the violation than those who do not. Rousseau (1990) identified careerism as an important factor in determining a desired employment relationship. Individuals high on careerism perceive their current employer as an instrumental stepping-stone up the interorganizational career ladder and are likely to adopt a more 'transactional' employment relationship with their employer. This relationship is not intended to be long term and what is exchanged has a short term focus: what the employee values are the more immediate rewards of the relationship such as pay, training, and credentials to obtain a better job in another organization. This motivational pattern is frequently ascribed to MBAs and other young professionals (*Business Week*, 1988). In contrast, those low on careerism scale have a more 'relational orientation.' They believe their career path to be through a long-term relationship with their employer and value not only that which they gain from their employer in the short run but, also, the relationship itself<sup>1</sup>.

Careerist individuals are expected to react to violations differently than those lower on this orientation. Careerists, who place less value on the relationship itself, should experience less loss from psychological contract violation than do those low on careerism.

H4: Careerism will moderate the associations between violations and trust, satisfaction, intentions to remain and turnover. The more careerist the employee, the weaker will be the relationships between violations and trust in employer, satisfaction, intentions to remain and turnover.

## Method

### *Subjects*

This research extends upon an earlier study investigating psychological contracts formed during recruitment (Rousseau, 1990). The present study follows up the same population: the 1987 alumni of an MBA program in a midwestern U.S. management school. This group was comprised of 35 per cent females. Nine per cent of the sample were minorities. Ten per cent of the sample were foreign nationals. Their average age at graduation was 28. Ninety-two per cent of the sample had at least two years of work experience before entering graduate school. Upon graduation, the chosen industries of this class included: investment banking (17 per cent), food/beverage/tobacco (14 per cent), commercial banking (14 per cent), consulting (8 per cent), consumer products (8 per cent), accounting (6 per cent), computers (4 per cent), real estate (4 per cent), health (4 per cent), advertising (4 per cent), and other (17 per cent). The functional areas in which they were placed were as follows: investment banking (22 per cent), brand management

<sup>1</sup> Careerism is distinct from Gouldner's (1958) 'cosmopolitans versus locals' typology. The cosmopolitan/local typology refers to latent social identities; how others perceive and classify organizational members in terms of their orientation to either the organization or a profession.

(21 per cent), consulting (15 per cent), financial analysis (6 per cent), financial services (5 per cent), accounting executives (4 per cent), lending (3 per cent), and other (24 per cent). Their starting salaries, in 1987, ranged from \$24 000 to \$90 000 with a median of \$43 500.

The 1987 questionnaire was distributed to 260 of the total 480 students in this class just three weeks prior to graduation. This subsample represented students who had, at the time, already accepted an offer of employment. A total of 224, or 86 per cent of those eligible to participate, responded to the first questionnaire.

In 1989, a second questionnaire was mailed to 448 of the total alumni class (those for whom the school alumni office had a contact address). A total of 215 (48 per cent) returned the completed questionnaire. Of those who had responded to the first questionnaire, 128 (59.5 per cent) responded to the second questionnaire.

Given the longitudinal nature of this study, only those subjects who completed both the first survey and the second survey were used in the quantitative analyses. Hence, the sample size was 128. There are two exceptions to this sample size. First, for analyses involving intentions to remain with one's employer (at time 2), only those employees who filled out both questionnaires, and who were still with their first employer ( $n = 96$ ) were included. Second, for the qualitative analyses of the nature of psychological contract violations, responses of all employees who answered the relevant questions on the second questionnaire ( $n = 209$ ) were used.

### *Instruments*

Both questionnaires assessed respondents' perceptions of their employer, the employment relationship and the mutual obligations they and their employer had to one another. The 1987 questionnaire assessed employees' perceptions that developed *during recruitment* whereas the later questionnaire examined perceptions *after two years on the job*. For the sake of consistency and common frame of reference, the second questionnaire asked respondents to answer with regard to their *first* employer (some could be expected to have changed employers since graduation). Each of the following scales was developed for this study. Items on each scale were randomly ordered through the questionnaire. Scales were subjected to a principal factor analysis with varimax rotation which supported the independence of the factors underlying these scales. Factor analyses, available from the authors, provided evidence of the unidimensionality of each scale based upon examination of the factor loadings and eigenvalues. The means, standard deviations and reliabilities (Cronbach alphas) of these scales are presented in Table 1.

#### **Careerism orientation**

Measured both at recruitment and two years later, this scale assesses an employee's orientation toward his or her employer as an instrumental stepping stone up the career path. A 1 to 5 scale was used where 1 = strongly disagree and 5 = strongly agree. Responses were coded such that a high score would indicate high careerism.

I took this job as a stepping stone to a better job with another organization.

I expect to work for a variety of different organizations in my career.

I do not expect to change organizations often during my career (reverse score).

There are many career opportunities I expect to explore after I leave my present employer.

I am really looking for an organization to spend my entire career with (reverse score).

#### **Trust**

Measured after the respondent joined the firm, this scale assessed the employee's degree of trust in his or her employer. A 1 to 5 scale was used, where 1 = strongly disagree, and 5

= strongly agree. Responses were coded such that a high score would indicate a high degree of trust in one's employer. The items were derived from the bases of trust identified by Gabarro and Athos (1976).

- I am not sure I fully trust my employer (reverse score).
- My employer is open and upfront with me.
- I believe my employer has high integrity.
- In general, I believe my employer's motives and intentions are good.
- My employer is not always honest and truthful (reverse score).
- I don't think my employer treats me fairly (reverse score).
- I can expect my employer to treat me in a consistent and predictable fashion.

### Satisfaction

Employee satisfaction, with both work and organization, was assessed on the second questionnaire with the following items. Again, a 1 to 5 was used, where 1 = strongly disagree, and 5 = strongly agree. Items included:

- Working for this organization is very satisfying to me.
- I am satisfied with my job.

Also, to assess satisfaction with one's work situation, the GM Faces Scale was used (Kunin, 1955). Due to high intercorrelations these items were combined, yielding an internal consistency reliability of 0.92.

### Psychological contract violation

Violation of psychological contracts were assessed in two ways at time 2. The first was a continuous variable assessing contract fulfilment. Respondents were given a 5-point scale where 1 = 'very poorly fulfilled' and 5 = 'very well fulfilled' and the following instructions 'Using the scale below, please indicate how well, overall, your *first* employer has fulfilled the promised obligations that they *owed you*: (circle one number)'. This variable was reverse scored to provide a measure of contract violation. The test-retest reliability of this measure, across a two-week period, is 0.78, suggesting moderate stability over time.

The second measure of violation was a dichotomous measure. Respondents were asked to answer yes or no to the question 'Has or had your employer ever failed to meet the obligation(s) that were promised to you?' This measure was dummy coded (0 = experienced no violation; 1 = experienced violation). Respondents were then asked 'If yes, please explain ...'. This gave respondents an opportunity to describe in detail what part of the contract was violated and how it occurred.

Use of the fulfilment/violation continuum permits us to examine the scope of contract completion while the violation dichotomy obtains the respondent's point of view as to whether the contract was actually violated. Though the measures are moderately intercorrelated ( $r = 0.53, p \leq 0.01$ ), considering them separately improves our understanding of how contract violation is construed and where violation thresholds may be crossed in the employment relationship. Measures were cross-tabulated. Of those employees who reported that no violation had occurred on the dichotomous measure of contract violation, 28.2 per cent reported being only 'somewhat fulfilled' on the fulfilment continuum. This suggests that degrees of fulfilment exist even when a contract is not considered broken. Moreover, of those employees who reported that their employer had violated their contract on the dichotomous measure, 22 per cent reported their employer had at least 'somewhat fulfilled' the terms of the agreement. In other words, some people with violated contracts reported a significant degree (moderate to high) of fulfilment.

Perhaps quick resolution of a specific violation of the contract leads employees to perceive overall fulfilment despite an isolated violation.

### Remaining with one's employer

*Intentions to remain with one's employer* and actual *turnover* were both measured. On the first and second questionnaire, respondents were asked 'How long do you intend to remain with your current employer?' (in terms of years). On the second questionnaire, this intentions question was analyzed using only those subjects who had not yet left their first employer.

Actual turnover was also measured on the second questionnaire by asking respondents how many employers they had worked for since graduation. This information was dummy coded (0 = still with employer; 1 = had left first employer). Of the 128 respondents, 32 (25 per cent) reported that they had left their first employer.

## Results

A majority of respondents (54.8 per cent), reported that their employer had, at some time, violated their psychological contract. The continuous measure of violation yielded a mean response score of 2.62 with a standard deviation of 1.08, indicating that the average employee reported some failure in contract fulfilment.

As predicted by hypothesis 1, employee trust was negatively related to the continuous measure of violations ( $r = -0.79, p < 0.01$ ) as well as the dichotomous measure of violations ( $r = -0.42, p < 0.01$ ). Hence, hypothesis 1 was supported (see Table 1 for zero-order correlations). Employee satisfaction was also found to be negatively related to both the continuous and dichotomous measure of violations ( $r = -0.76, p < 0.01$ ;  $r = -0.46, p < 0.01$ ). This supports hypothesis 2.

To test hypotheses 3 to 5, a series of hierarchical regressions were performed (Table 2). Hypothesis 3a predicted that violations would be negatively related to intentions to remain with one's employer. When intention to remain with one's employer (time 2) was regressed on contract violations by the employer (continuous measure) and initial intention to remain with one's employer (time 1), hypothesis 3a was supported. Controlling for *initial* intentions, contract violations significantly predict current intentions to remain with one's employer [ $\beta = -0.41, p < 0.01$ ;  $F(2, 87) = 12.76, p < 0.01$ ; adjusted  $R^2 = 0.21$ ], explaining approximately 16 per cent of the unique variance.

Hypothesis 3b predicted that violations would be positively related to actual turnover. To test the relationship between turnover and employer violations, a logistic regression was performed. When turnover was regressed on violations (continuous measure) and initial intentions to remain with one's employer, violations were found to be positively associated with turnover ( $\beta = 0.36, p < 0.01$ ). Furthermore, a *t*-test indicated that those who left had initially intended to remain with their employer (mean = 3.62) for as long as those who had not left (mean = 3.93,  $t = -1.22, n.s.$ ). However, those who had actually left their employer had experienced a greater degree of contract violation by their employer (continuous measure) (mean = 3.21), than those who had not left their employer (mean = 2.40,  $t = 4.99, p < 0.01$ ). Hence, hypothesis 3b is supported.

Similarly, when the dichotomous violation measure was cross-tabulated with the turnover measure, it was found that 48 per cent of those who remained with their employer had experienced violation whereas 76 per cent of those who had left their employer had experienced a violation.

Table 1. Descriptive statistics and intercorrelations of all variables

|                       | Mean  | S.D. | Reliability* | 1.      | 2.     | 3.     | 4.     | 5.     | 6.     | 7.    | 8.   |
|-----------------------|-------|------|--------------|---------|--------|--------|--------|--------|--------|-------|------|
| 1. Violations (cont.) | 2.62  | 1.08 | n/a          |         |        |        |        |        |        |       |      |
| 2. Violations (dich.) | n/a   | n/a  | n/a          | 0.53†,‡ |        |        |        |        |        |       |      |
| 3. Trust              | 27.03 | 7.40 | 0.93         | -0.79‡  | -0.42‡ |        |        |        |        |       |      |
| 4. Satisfaction       | 10.90 | 3.82 | 0.92         | -0.76‡  | -0.46‡ | 0.69‡  |        |        |        |       |      |
| 5. Intentions (T1)    | 3.81  | 1.24 | n/a          | -0.13   | -0.12  | 0.23‡  | 0.22§  |        |        |       |      |
| 6. Intentions (T2)    | 3.72  | 3.02 | n/a          | -0.42‡  | -0.30‡ | 0.39‡  | 0.43‡  | 0.25§  |        |       |      |
| 7. Careerism (T1)     | 15.56 | 3.92 | 0.78         | 0.12    | -0.01  | -0.23‡ | -0.20‡ | -0.58‡ | -0.32‡ |       |      |
| 8. Careerism (T2)     | 15.59 | 4.07 | 0.78         | 0.17    | 0.10   | -0.24‡ | -0.31‡ | -0.39‡ | -0.60‡ | 0.52‡ |      |
| 9. Turnover           | n/a   | n/a  | n/a          | 0.32‡   | 0.24‡  | -0.18§ | -0.41‡ | -0.13  | n/a    | 0.08  | 0.06 |

\*Reliability entries represent Cronbach Alpha coefficients.

†Entries in matrix represent Pearson product-moment correlations.

‡ $p < 0.01$ .

§ $p < 0.05$ .

$N = 128$  ( $n = 96$  for correlations involving intent T2).

Table 2. Regressions of predictors on violation and careerism

|                                                                          |                 | Beta                                       | Adjusted $R^2$               | $F$                 |
|--------------------------------------------------------------------------|-----------------|--------------------------------------------|------------------------------|---------------------|
| H3a: predicting intentions (T2)                                          |                 |                                            |                              |                     |
| Step 1:                                                                  | Intentions (T1) | 0.22*, † (0.22*)‡                          | 0.05                         | 6.02 <sup>  </sup>  |
| Step 2:                                                                  | Violations§     | -0.41 <sup>  </sup>                        | 0.21                         | 12.76 <sup>  </sup> |
| H3b: predicting turnover (logistic regression)                           |                 |                                            |                              |                     |
| Step 1:                                                                  | Intentions T1   | -0.10 (-0.08)                              | Coeff./S.E.<br>-1.19 (-0.90) |                     |
| Step 2:                                                                  | Violations      | 0.36 <sup>  </sup>                         | 3.26                         |                     |
| H4: predicting careerism as moderator of violation–outcome relationships |                 |                                            |                              |                     |
| Predictor: trust                                                         |                 |                                            | Adjusted $R^2$               |                     |
| Step 1:                                                                  | Careerism T1    | -0.10 (-0.09)                              | 0.63                         | 70.01 <sup>  </sup> |
|                                                                          | Careerism T2    | -0.05 (-0.04)                              |                              |                     |
|                                                                          | Violations      | -0.76 <sup>  </sup> (-0.79 <sup>  </sup> ) |                              |                     |
| Step 2:                                                                  | CarT1 × Viol    | 0.11*                                      | 0.64                         | 54.67 <sup>  </sup> |
| Predictor: satisfaction                                                  |                 |                                            |                              |                     |
| Step 1:                                                                  | Careerism T1    | 0.00 (0.00)                                | 0.60                         | 63.08 <sup>  </sup> |
|                                                                          | Careerism T2    | -0.18 <sup>  </sup> (-0.18 <sup>  </sup> ) |                              |                     |
|                                                                          | Violations      | -0.73 <sup>  </sup> (-0.74 <sup>  </sup> ) |                              |                     |
| Step 2:                                                                  | CarT1 × Viol    | 0.07                                       | 0.60                         | 47.82 <sup>  </sup> |
| Predictor: intentions                                                    |                 |                                            |                              |                     |
| Step 1:                                                                  | Careerism T1    | -0.03 (-0.01)                              | 0.40                         | 21.39 <sup>  </sup> |
|                                                                          | Careerism T2    | -0.50 <sup>  </sup> (-0.48 <sup>  </sup> ) |                              |                     |
|                                                                          | Violations      | -0.29 <sup>  </sup> (-0.30 <sup>  </sup> ) |                              |                     |
| Step 2:                                                                  | CarT1 × Viol    | 0.10                                       | 0.41                         | 16.43 <sup>  </sup> |

\* $p < 0.05$ .

†Entries represent standardized beta coefficients.

‡Entries in parentheses represent standardized beta coefficients in step 2.

§The continuous violations measure was used in all of the regression equations.

<sup>||</sup> $p < 0.01$ .

Although there is a relationship as predicted between violation and turnover, it is interesting to note that cases do occur 'off quadrant' (24 per cent of leavers had not experienced violation and 52 per cent of stayers had experienced violation). Most significant is the latter percentage suggesting that employment relations may be eroded without an obvious impact on attrition.

Hypothesis 4 predicted that careerism would moderate the relationship between violations and trust, satisfaction, intentions to remain with the employer and turnover. To test this hypothesis, a series of hierarchical regressions were performed, one for each predictor. In the first steps, violations (the continuous measure), careerism at time 1 and careerism at time 2 were regressed on the predictor. In the second steps, the interaction term (violation X careerism) was added to the equation. To reduce the common problem of multicollinearity in moderated regression equations, all of the independent variables were centered prior to entering them into the equation (Aiken and West, 1991). Hypothesis 4 was only partially supported. In the moderated regression equation of trust on violation, the interaction term was significant (beta = 0.11,  $p < 0.05$ ), suggesting that the more careerist the employee, the stronger the negative relationship between contract violation and trust in one's employer [ $F(4, 119) = 54.67$ ,  $p < 0.01$ , Adjusted  $R^2 = 0.64$ ]. However, careerism did not moderate the relationship between contract violations and the other variables (although in all cases it was in the predicted direction).

### Qualitative responses

Responses to the open-ended questions suggest some ways in which psychological contract violations are experienced by employees. A total of 209 out of 215 employees who participated in the second questionnaire answered the following question: 'Has or had your employer ever failed to meet the obligation(s) that were promised you?' One hundred and twenty-three responded affirmatively and when asked to explain, most respondents described an experience (often several) of violation by their employer. Two coders categorized the response into categories. The first coder grouped them such that representative categories developed. Using the category names and definitions developed by the first coder, a second coder also coded the responses. The interrater reliability was very high, with kappas ranging from 95 per cent to 100 per cent for each category. This coding scheme yielded 10 distinct categories of violations. Among the more frequently mentioned of these were training and compensation. These categories of violations and their degree of frequency are outlined in Table 3.

The qualitative data reveal that violations occur in almost every area related to human resource management with training, development, compensation, and promotion being the most frequently mentioned. The examples respondents provided evince general terms in which promises are often expressed and/or encoded. Terms such as 'good chance of promotion' and 'greater responsibility' suggest that promises may be subjectively expressed as well as subjectively interpreted. Mutuality may be inferred where it did not exist.

Analysis of open-ended responses also indicated that many of the individuals reporting a violation also took steps to remedy the situation. *Post hoc* analyses of remediated violations indicates that recruits who successfully challenged the violation (usually by bringing it to a boss's attention) were more likely to report higher levels of contract fulfilment than did those whose violations went unremediated.

## Discussion

Psychological contracts are frequently violated. Many recently recruited alumni could provide a detailed account of a particularly significant incident of violation. One could argue that for MBA alumni the frequency of violation may be unusually high. Upon graduation (in 1987), these management school graduates were in great demand and heavily recruited. Employers may have been inclined to make promises, that they later could not keep, to lure these graduates into the firm. The motivation of recruiters to provide accurate information is quite low in general (Porter, Lawler and Hackman, 1975) and hence, this group was especially unlikely to receive 'realistic job previews' (Wanous, 1977) during recruitment. Overselling a job's features can be compounded with subjective interpretation of what the promised 'great' job actually entails.

Psychological contract violations were negatively associated with satisfaction, trust and employees' intentions to remain with their employer and positively associated with actual turnover. Even after controlling for the amount of time the employee had originally intended to stay, violations accounted for approximately 16 per cent of the variance in the length of time an employee intended to stay with the employer at time 2. Violations were also positively associated with actual turnover.

The strong relationship found between violations and trust is particularly significant given that trust is crucial to organizational effectiveness (Golembiewski and McConkie, 1975). Trust has a 'spiral reinforcement' quality such that a decline in trust often leads to further decline in trust. A lack of trust is associated with a decrease in the quantity and quality of communication

Table 3. Types of violations

| Violation type       | Definition                                                                                                                                       | Freq | Examples                                                                                                                                                                                                                                                                                     |
|----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Training/development | Absence of training, or training experience not as promised                                                                                      | 65   | 'Sales training was promised as an integral part of marketing training. It never materialized'                                                                                                                                                                                               |
| Compensation         | Discrepancies between promised and realized pay, benefits, bonuses                                                                               | 61   | 'Specific compensation benefits were promised and were either not given to me, or I had to fight for them'                                                                                                                                                                                   |
| Promotion            | Promotion or advancement schedule not as promised                                                                                                | 59   | 'I perceived a promise that I had a good chance of promotion to manager in one year. While I received excellent performance ratings, I was not promoted in my first year'                                                                                                                    |
| Nature of job        | Employer perceived as having misrepresented the nature of the department or the job                                                              | 40   | '(My) employer promised I would be working on venture capital projects. I was mainly writing speeches for the CEO'                                                                                                                                                                           |
| Job security         | Promises regarding degree of job security one could expect were not met                                                                          | 37   | 'The company promised that no one would be fired out of the training program—that all of us were "safe" until placement (in return for this security we accepted lower pay). The company subsequently fired four people from the training program'                                           |
| Feedback             | Feedback and reviews inadequate compared to what was promised                                                                                    | 35   | '... (I did) not receive performance reviews as promised'                                                                                                                                                                                                                                    |
| Management of change | Employees not asked for input or given notice of changes as they were promised                                                                   | 29   | 'I was promised more knowledge and control over my future'                                                                                                                                                                                                                                   |
| Responsibility       | Employees given less responsibility and/or challenge than promised                                                                               | 27   | '(I was) promised greater responsibility. More strategic thinking/decision making                                                                                                                                                                                                            |
| People               | Employer perceived as having misrepresented the type of people at the firm, in terms of things such as their expertise, work style or reputation | 25   | 'I was promised as dynamic and as having challenging environment ... rubbing elbows with some of the brightest people in the business ... a big lie. The true picture started to come out ... after the initial hype ... of working at one of the best 100 companies in the US had worn off' |
| Other                | Perceived promises not fulfilled by the employer not fit into above categories                                                                   | 26   | 'Original representations of the company's financial and market that do strength became clearly fraudulent'                                                                                                                                                                                  |

(O'Reilly and Roberts, 1976), and cooperation (Deutsch, 1973), which in turn, may reduce subsequent trust. A lack of trust has also been associated with a decline in effective problem solving (Boss, 1978) and performance (Zand, 1972).

The fact that careerism moderated the relationship between violations and trust suggests that the employees whose trust was most affected by violation were those planning to build

a career with their employer; employees whose trust the firm should value most. This interaction effect is consistent with a phenomenon reported by Brockner, Tyler and Cooper-Schneider (1992): people with higher than average faith in the judicial system had *far more* negative reactions to losing in court than those with lower expectations. Brockner *et al.* labelled this phenomenon 'the higher they are, the harder they fall'.

Although careerism moderated the relationship between violations and trust, it did not make a difference for the relationships between violations and satisfaction, intentions to remain with one's employer or actual turnover. These findings suggest that the experience of violation may have the same strong, negative impact on both employees who plan a long-term relationship with their employer and those who see their employer as a mere stepping stone.

Violations and unmet expectations, though conceptually related, function differently. Reported relationships between violation and reactions are much stronger than those typically found between unmet expectations and similar outcomes. Wanous *et al.* (1992), in their meta-analysis of the effect of met expectations on newcomer attitudes and behavior, concluded the correlations (and confidence intervals) between unmet expectations and job dissatisfaction, intentions to leave and turnover to be 0.39 ( $-0.05-0.60$ ), 0.29 ( $0.07-0.40$ ) and 0.13 ( $-0.03-0.27$ ), respectively. By comparison, we report correlations between violations and satisfaction, intentions to stay (the inverse of intentions to leave), and turnover to be 0.76,  $-0.49$  and 0.29. These comparisons suggest that violations, in comparison to unmet expectations, more strongly impact satisfaction, intentions to quit and turnover.

Our focus upon psychological contracts as beliefs in the existence of 'paid-for-promises' is predicated on the distinction between such beliefs and other types of expectations that employees hold regarding the conditions of their employment (*cf.* Wanous, 1977). Psychological contracts clearly are expectations, although ones originating from the individual's belief in a promise, stated or implied, that he or she has been offered in exchange for his or her contributions to the organization. As a paid-for-promise, a psychological contract differs substantially from other expectations. Most expectations when unmet lead to a sense of disappointment. Employees whose contracts are violated feel wronged (Rousseau, 1989; Rousseau and Parks, 1993). The present study adds to the literature on employment expectations by assessing beliefs that are promissory, reciprocal, and operate in a context which can for some be more a relationship than a transaction.

This study focused solely on MBA graduates and hence, care must be taken when generalizing these results to other employee populations. As noted above, MBA graduates may experience more violation because of the overzealous efforts of recruiters. Second, MBA graduates' reactions to violations may be different from other employees. Given their marketability and relatively short tenure with their employer, these MBA graduates may be more likely to resign after experiencing violation than their less mobile counterparts. Nevertheless, we would expect that most employees, not only MBA graduates, would experience similar feelings of dissatisfaction, distrust and a desire to quit following violations by their employer.

Several other limitations of this study should be noted. First, given the design of our study, those 32 respondents who had left their first employer had to rely on recall data for the measure of violation, trust and satisfaction. Recall data is subject to error and hence, it may have somewhat confounded our results. Second, this study would have benefitted from better measures of contract violations. Our violations measures did not explicitly incorporate the notion of reciprocity which is central to our definition of psychological contracts. Further, our use of single-item measures to assess violations, as well as intentions to remain with one's employer, is potentially problematic. While our test-retest analysis demonstrated temporal stability of the continuous violation measure, we could not assess the internal reliability of any of our

single-item measures. Multiple-item measures tend to be both more valid and reliable (Rushton, Brainerd and Pressley, 1983) and hence, would have been more likely to produce stronger results than those reported here.

Given the design of this study, we cannot confirm the direction of causality. For example, it is unreasonable to assume that the relationship between violations and trust is nonrecursive; that is, violation reduces trust but a decline in trust also increases the likelihood of perceiving violation. Future research on violations should incorporate designs which can better address this issue of causality. Nevertheless, the vividness of the violations reported suggests their salience to employees and potential impact on employment relations.

This study suggests a number of potential avenues for future research on psychological contracts. While this study has focused solely on employer violation of the employment contract, future research should also attend to employee violation of the contract. While considerable research has addressed employee behavior that goes beyond the contract, in terms of 'extra-role' behavior and organizational citizenship behavior (e.g. Organ, 1988, 1990), more attention should be given to employee breaches of contract behavior (Robinson and Bennett, 1993). Another direction for future research is to examine how both employees and employers seek to remedy or resolve violations to their psychological contracts. Research that has explored employees' reactions to dissatisfaction — such as exit, voice and loyalty — might be a useful starting point for addressing this question (Hirschman, 1970; Robinson, 1993).

Although this study focused on breach of the psychological contract, it also says something about successful employment relationships. First, firms do tend to retain recruits who feel fairly treated. Moreover, the qualitative data suggests that managers who promote open two-way communication may be able to nip in the bud discrepancies in employer commitments and employee experiences. Further, recruits who expect a more transactional employment relationship (e.g. short-run, monetizable) have a less averse reaction to violations. Managing expectations more explicitly (and realistically) could lead to a more trusting employee–employer relationship. A challenge for contemporary management, facing economic and organizational changes, is to keep changes in employment conditions from becoming violations.

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